

Income-Rich Sidewalker's spending isn't satisfied until they've burned through their entire monthly income plus some. It's an irrational way to live, as if these people fear that not spending the money will cause it to disappear. Earn \$50,000 a month? Spend \$60,000. Earn \$250,000? Spend \$350,000. The money outflow always outpaces the money inflow.

Someone who earns \$2 million a year is susceptible to the same Sidewalking pitfalls as someone who earns \$20,000! *Financial discipline is blind to income.* Lack of financial discipline resides on the Sidewalk and it doesn't care what you earn or what you drive.

THE INCOME/WEALTH MIRAGE OF THE SIDEWALK

Notice how both income-poor and income-rich sidewalkers share the same problems but different scenery. *The reason is, more money is not a solution to poor financial management.* Poor money management is like gambling at a casino, because, over time, the house always wins. Tossing more money at the deficiency is like trying to plug a hole in a dam with more water. More money doesn't buy financial discipline.

Those lacking financial discipline misuse money to delay the inevitable. If you can't live on \$40,000 a year, you won't be able to live on \$400,000 a year. While you might fret about your \$900 mortgage payment, the income-rich Sidewalker frets about his \$9,000 mortgage payment. The fretting is alike; the problems are the same, only the amounts differ. Only a mindset change regarding money is a solution to money problems. To change your mindset, you must change your roadmap. Get off the Sidewalk and stop equating wealth to income and debt.

CHAPTER SUMMARY: FASTLANE DISTINCTIONS

- A first-class ticket to the Sidewalk is to have no financial plan.
- The Sidewalk's natural gravitational pull is poorness, both in time and money.
- You cannot solve poor financial management with more money.
- You can be income rich and still ride the Sidewalk dirty.
- If wealth is defined by income and debt, wealth is an illusion, because it is vulnerable to potholes, detours, and "bumps in the road." When the income disappears, so does the illusion of wealth.
- Poor financial management is like gambling; the house eventually wins.